

DOCUMENT 1 OF 7 - ATTORNEY BRIEFING MEMO

Attorney Briefing Memo

To: Lauren Yde, Yde Law

From: Jim Slogar, Member and Manager, Central Wisconsin Deck Builders, LLC, on behalf of the three prospective SBG partners (Jim Slogar, Ben Barton, John Garcia)

Re: Formation of SBG Construction Group, a shared-services / captive-labor structure. Engagement scope, priority questions, and disclosures.

Meeting: Initial consultation, July 6, 2026

Prepared: July 5, 2026

Purpose of this memo. We want to use your time efficiently today. This memo states exactly what we would like you to draft, lists our priority legal and tax questions in ranked order, and discloses the facts you will need. The enclosed term sheet, structure diagram, inter-company outlines, financial model, and gating checklist carry the full detail. Everything in this packet was drafted by AI legal counsel for our internal alignment and is not a substitute for your review.

1. What we are asking you to do

We are three Wisconsin construction businesses that have decided to build a shared back-office group, and we want you to paper it correctly. Specifically, we would like you to:

1. Draft binding **operating agreements** for the three new SBG entities (SBG-Labor, SBG-Equipment, SBG-RealEstate), including the governance, capital, deadlock, and buy-sell terms in the enclosed term sheet.
2. Draft the three **inter-company agreements** that make the structure work: a labor / staffing agreement, an equipment lease, and a workers' comp / borrowed-servant coordination agreement (outlines enclosed).
3. Draft the **buy-sell and transfer-restriction provisions** (trigger events, valuation, and funding).
4. Advise on the **joint-representation and conflict-of-interest question** below, and prepare any conflict waivers or independent-counsel recommendations you consider necessary.
5. Give us a **written fee estimate and timeline**, and tell us the order in which these documents should be produced.
6. Give us your read on the **priority questions in Section 4**.

2. What SBG is (one paragraph)

Three existing, independent Wisconsin construction LLCs (Central Wisconsin Deck Builders, LLC, Jim Slogar; Barton Builders LLC, Ben Barton; John Garcia Construction, LLC, John Garcia) will stay independent and customer-facing. Each keeps signing its own jobs, pulling its own permits under its own Dwelling Contractor Certification, carrying its own general liability, and keeping its own job profit. The three of us will jointly own three new SBG entities, one third each as individuals, funded by equal cash: **SBG-Labor** (elects S-corp; employs the W-2 crews and the three of us; leases labor to the LLCs at market), **SBG-Equipment** (owns and leases equipment at market), and **SBG-RealEstate** (dormant until a shop or yard is purchased). SBG bills the LLCs at market and reinvests its profit in Phase A. Phase B, one to two years out, is a deferred true merger in which job profit pools one third each; we want the Phase B trigger and valuation method decided now. Full detail is in the enclosed term sheet.

3. What is already decided (so you are not re-deriving it)

- Shared-services / captive-labor group, **not a merger** in Phase A.
- Three SBG entities, owned **one third each by the three individuals** (we want your confirmation that individual ownership, rather than holding-LLC ownership, is right).
- Capital is **equal cash**; equipment a partner sells in is an arm's-length fair-market-value sale, not a contribution.
- **SBG-Labor elects S-corp** so the three of us can draw W-2 wages.
- SBG **reinvests** its Phase A profit, with no owner distributions yet beyond mandatory tax distributions.
- Each partner **keeps their own customers and lead sources**; SBG does not market or own any customer relationship.
- Governance lanes: Jim (finance), John (scheduling and estimating), Ben (field operations), with 2-of-3 and unanimous decision thresholds.
- Governing law **Wisconsin**; venue **Marathon County**.

4. Priority legal and tax questions (ranked)

1. **Joint representation and conflict of interest (Wis. SCR 20:1.7).** Can a single attorney represent all three of us and the SBG entities on this formation, or do one or more of us need independent counsel? What conflict waivers do you require? We put this first because it governs how the rest of the engagement proceeds.
2. **Ownership form.** Individuals versus holding-LLCs as the owners of the SBG entities. The S-corp election appears to force individual ownership of SBG-Labor. Please confirm, and advise on the liability, creditor, divorce, and estate trade-offs of individual ownership.
3. **SBG-Labor S-corp election.** Confirm the mechanics and timing (Form 2553), the reasonable-compensation posture at the planned \$80/hr market wage, and whether Wisconsin follows the federal S election automatically.
4. **Wisconsin sales and use tax on the intercompany equipment leases (Wis. Stat. 77.52).** Confirm that SBG-Equipment must register with the WI DOR and collect and remit on the rental stream, and confirm the correct purchase-side treatment (resale or lease exemption) so the fleet is not taxed twice. This is separate from our position that CWDB's own revenue is not subject to sales tax.
5. **Leased-labor and workers' comp interaction.** How each operating LLC satisfies its Dwelling Contractor Certification's workers-comp-or-exemption condition while using leased crews covered under SBG-Labor, and the borrowed-servant / special-employer posture that bars a leased worker's tort suit against the operating LLC. Note the wrinkle that Wisconsin's closely-held officer workers-comp election-out is capped at two officers, while SBG-Labor has three partner-officers.
6. **DSPS licensing.** Confirm that SBG, as a labor and equipment lessor that does not contract with homeowners or pull permits, needs no Dwelling Contractor Certification (Wis. Stat. 101.654; SPS 305). Each operating LLC keeps its own certification and qualifier; Jim's individual qualifier is still pending.
7. **Buy-sell and ROFR.** Trigger events, valuation method and annual reset, installment payout, and life and disability insurance funding.
8. **Restrictive covenants (Wis. Stat. 103.465).** A tight non-compete and, most importantly, the 24-month crew anti-poaching covenant. Please draft narrowly, since Wisconsin voids an overbroad covenant entirely rather than narrowing it.
9. **Phase B trigger and equalization.** The method to value and equalize the three unequal LLCs when job profit begins to pool, decided now and executed later.
10. **Wind-down of the existing lead-purchase deal.** Central Wisconsin Deck Builders currently sells leads to Ben and John at \$1,000 per accepted bid under signed agreements. We want a clean written termination and final accounting before the SBG relationships begin.

11. **Entity name clearance.** SBG-Labor, SBG-Equipment, and SBG-RealEstate are placeholders not yet cleared at WIDFI.

12. **Pre-existing entity disclosure (BartGar Investments).** See Section 5.

5. Disclosures you should have

- **BartGar Investments.** Jim Slogar and Ben Barton already co-own a separate entity (BartGar Investments, roughly 50/50, real-estate related, formed around 2021, with its own operating agreement). Two of the three SBG partners sharing a pre-existing joint entity may interact with the SBG buy-sell, non-compete, and capital terms. Please account for it.
- **Existing CWDB lead-purchase agreements.** Central Wisconsin Deck Builders has signed Contractor Lead Purchase Agreements with both Barton Builders LLC and John Garcia Construction, LLC (April 2026) at \$1,000 per accepted bid. These are to be wound down (Question 10).
- **CWDB general liability insurance in placement.** Central Wisconsin Deck Builders is currently binding a commercial GL policy (Auto-Owners, through HUB International). Ben's and John's LLCs carry their own coverage; details are on the enclosed Facts Sheet.
- **DSPS qualifier pending for Jim.** Until Jim holds his individual Dwelling Contractor Qualifier and CWDB holds the entity certification, CWDB self-performs only cosmetic stain and resurface work and relies on a licensed builder for any build or structural job.
- **Superseded internal memos.** Some earlier internal memos in our files are superseded by the enclosed term sheet and should not be relied on.
- **Placeholder names and illustrative numbers.** The SBG entity names are unverified, and the dollar figures in the financial model are labeled assumptions to be confirmed against our books.

6. Enclosures

1. This briefing memo
2. Entity structure one-pager
3. Party and corporate facts sheet
4. SBG term sheet
5. Inter-company agreements outline
6. Financial model, Phase A (one internal section omitted)
7. Regulatory gating and due-diligence checklist

7. Suggested agenda for today (about 75 minutes)

5 min	Introductions and confirm scope (Section 1)
10 min	Joint representation and conflict of interest, and waivers (Question 1)
15 min	Structure walk-through using the one-pager and term sheet: ownership form, equal cash, the three inter-company agreements (Question 2; term sheet Sections 2 and 3)
15 min	Tax and regulatory gating: S-corp election, equipment-lease sales tax, workers' comp election-out, DSPS lessor status (Questions 3 to 6)
10 min	Buy-sell, restrictive covenants, deadlock, and Phase B (Questions 7 to 9)

10 min	Disclosures and loose ends: lead-deal wind-down, name clearance, BartGar Investments (Questions 10 to 12)
10 min	Scope confirmation, drafting list, fee estimate, timeline, and next steps

This memo was prepared by AI legal counsel for informational and planning purposes only. It is not legal advice. Review by a licensed Wisconsin attorney is recommended before execution of any document referenced here.